Short Interest and Aggregate Market Returns

- Rapach, Ringgenberg, and Zhou (2014): "*We show that aggregate short interest is one of the strongest known predictors of the equity risk premium. High aggregate short interest predicts lower future equity returns at monthly, quarterly, semi-annual, and annual horizons*."[29]

Volatility-Based Indicators

Risk and return are linked in financial markets. If you take on more risk, you generally can expect to earn a higher return, and vice versa. *Risk* is often measured in terms or standard deviation, which is deemed "volatility." And while more expected volatility usually means higher returns in the context of investing, researchers have asked a related question: Can we use market volatility to predict future market returns? The following papers explore a few ways in which researchers have tried to use volatility metrics to "predict the market."

Expected Stock Returns and Volatility

- French, Schwert, and Stambaugh (1987): "*This paper examines the relation between stock returns and stock market volatility. We find evidence that the expected market risk premium (the expected return on a stock portfolio minus the Treasury bill yield) is positively related to the predictable volatility of stock returns*."[30]

Implied Volatility Spread

- Atilgan, Bali, and Demirtas (2014): "*This paper investigates the intertemporal relation between volatility spreads and expected returns on the aggregate stock market. We provide evidence for a significantly negative link between volatility spreads and expected returns at the daily and weekly frequencies. We argue that this link is driven by the information flow from option markets to stock markets*."[31]
- Bali and Hovakimian (2009): "*We examine the relation between expected future volatility (options' implied volatility) and the cross-section of expected returns. A trading strategy buying stocks in the*